

Seigniorage



Governments have a monopoly on the production of money, and the cost to the authorities of printing a bank note is a fraction of that note's value. The revenue that this creates for the government is known as seigniorage and, along with taxation and borrowing, it is a method by which the state can raise finance. This is what happens when governments finance spending by printing money rather than by borrowing or raising taxes.

But, in fact, seigniorage functions as a sort of tax – printing money raises the money supply and pushes up inflation, so seigniorage can be thought of as an 'inflation tax' because higher prices reduce the real value of people's money. As with any tax, the government boosts its own purchasing power at the expense of everyone else's. Although seigniorage can be a useful

source of revenue it can also be dangerous: if it is taken to an extreme it can lead to hyperinflation (see [Hyperinflation](#)).